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Batch	
Roll no.	
Project Name	FUNDAMENTALS OF FINANCIAL OPERATIONS

Question 1: Basics of Tally Prime (10 Marks)

Using the data provided, Mr. Aakash is setting up ledgers and entering transactions for Star Enterprises.

Q1.

1. a) What are the steps to create a new company in Tally Prime for Star Enterprises? What details are required for this setup? (2 marks)

Provide the solution in the box below:

First go to tally gateway > click ALT+K > click 'create a company'

Enter the company name : "star enterprise", Mailing name: star enterprise , address: **** , State: Delhi , country: India, pincode , telephone no ,mobile no, maintains .

- **Financial Year Start Date: 1-Apr-2024**
- **Books Beginning From : 1-Apr-2024**

1. b) Create company Star Enterprises Pvt. Ltd and create ledgers for "Raw Materials Purchase" from Supplier A on credit and categorize it under the appropriate group, recording the purchase made on April 1, 2024 (₹75,000 without GST). Paste the screenshot of the ledger and the voucher entry below. (3 marks)

Screenshot of Ledger Purchases Ledger

Tally Prime EDU K: Company Y: Data Z: Exchange G: Go To O: Import E: Export M: Share P: Print F1: Help

Ledger Creation Star Enterprise Pvt Ltd

Name : Raw Material Purchase

Total Opening Balance

Under : Purchase Accounts

Type of Ledger : • Not Applicable

Mailing Details

Name :
Address :

Banking Details

Provide bank details : No

Tax Registration Details

PAN/IT No. :

Opening Balance (on 1-Apr-24) : 75000

F2: Period
F3: Company
F4:
F5:
F6:
F7:
F8:
F9:
F10: Other Masters
F11: More Details

Screenshot of Supplier A Ledger

Tally Prime EDU K: Company Y: Data Z: Exchange G: Go To O: Import E: Export M: Share P: Print F1: Help

Ledger Creation Star Enterprise Pvt Ltd

Name : Supplier A

Total Opening Balance

75,000.00 Dr
75,000.00 Cr

Under : Sundry Creditors (Current Liabilities)

Mailing Details

Name : Supplier A
Address :
State : Delhi
Country : India
Pincode :

Banking Details

Provide bank details : No

Tax Registration Details

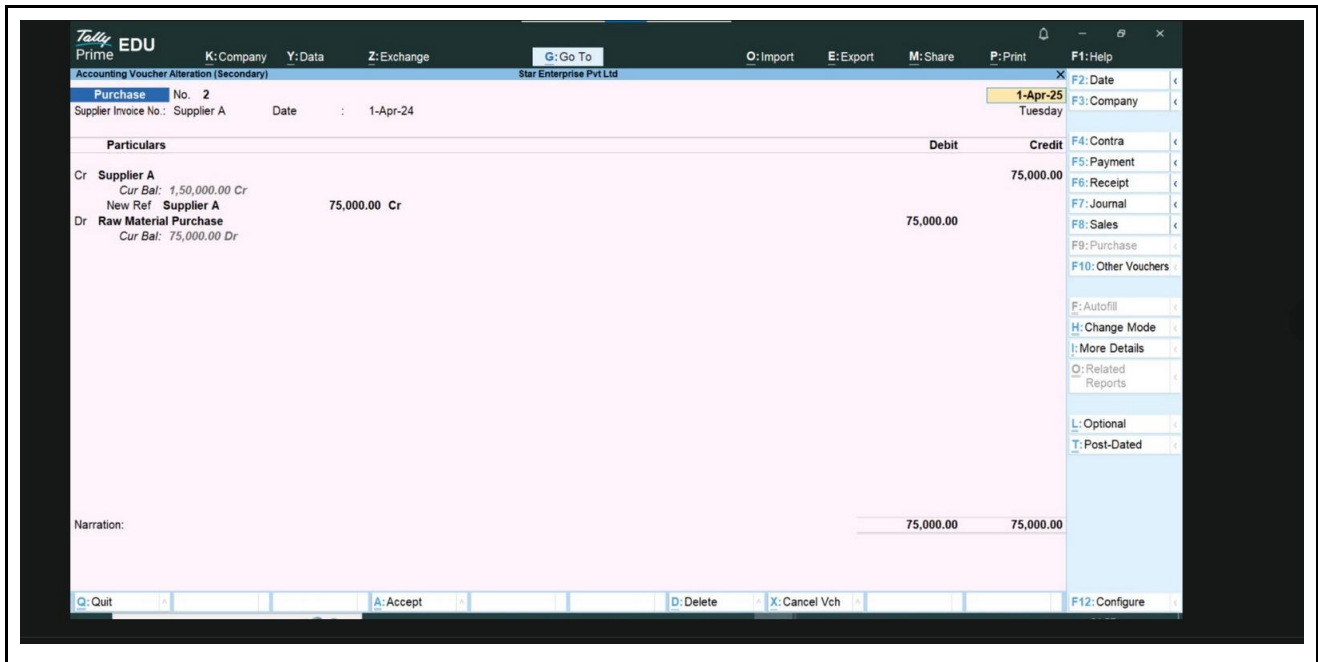
PAN/IT No. :

Opening Balance (on 1-Apr-24) : 75,000.00 Cr

Accept ?
Yes or No

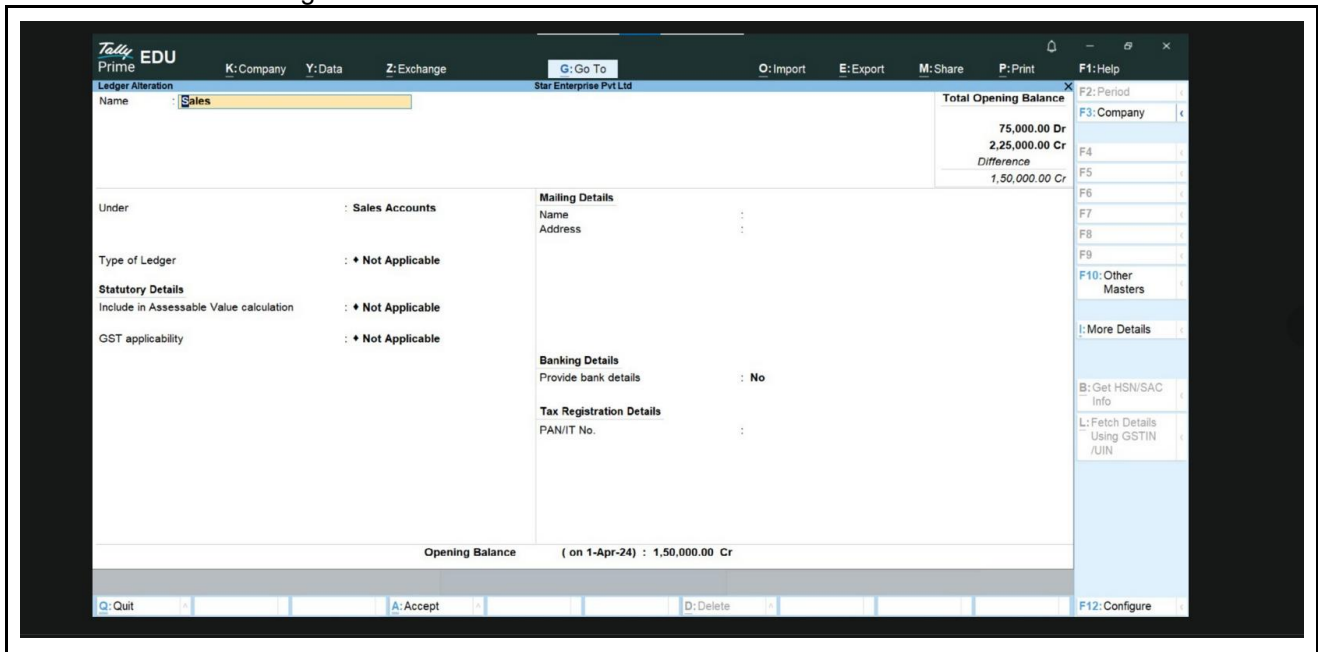
Q: Quit A: Accept D: Delete F12: Configure

Screenshot of Voucher Entry:

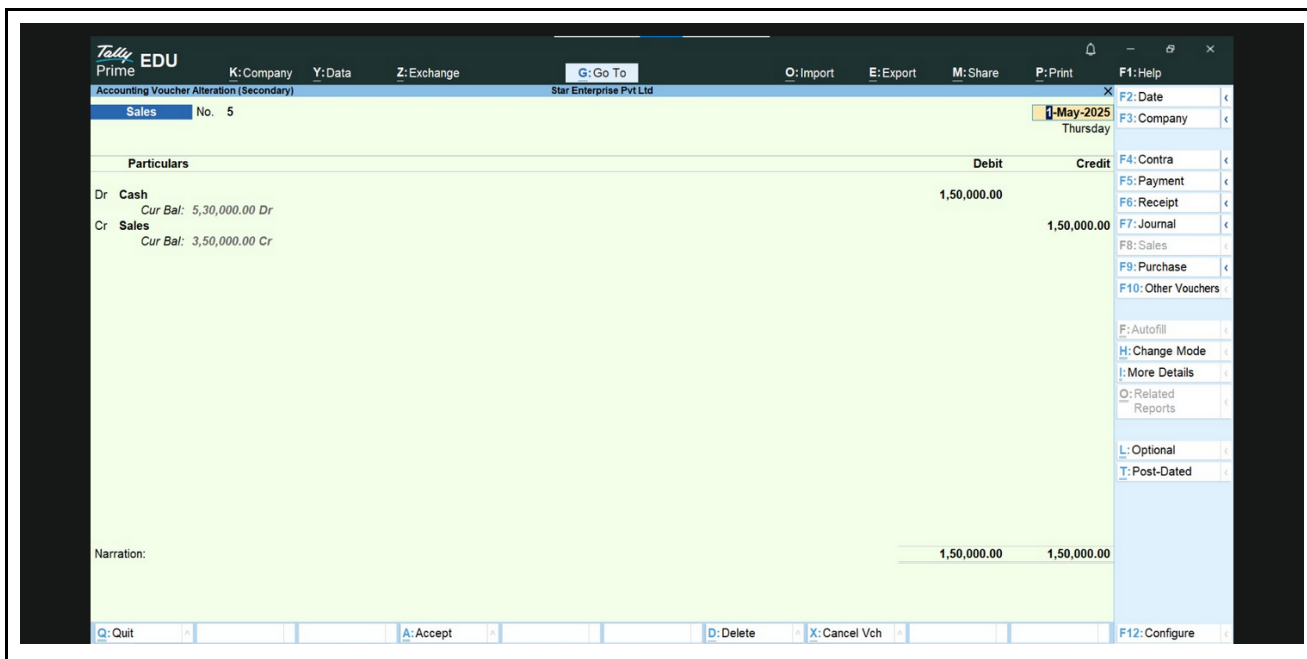


1.c) Record the sale transaction of ₹1,50,000 on May 1, 2024, and exclude the GST details in Tally Prime. Paste the screenshot of the Sales ledger and entry below. (2 marks)

Screenshot of Sales Ledger:



Screenshot of Sales Voucher Entry:



1.d) Explain how Mr. Aakash can check the trial balance to ensure all entries have been made accurately. Also, mention the shortcut key to view the detailed version of the trial balance. Also, explain the steps to see the opening balance and trial balance (3 marks)

Provide the solution In the box below:

After entering all vouchers, Mr. Aakash should verify that **total debits = total credits** using the Trial Balance.

Steps to View Trial Balance

1. Open **Tally Prime**
2. Select **Star Enterprises Pvt. Ltd.**
3. Go to **Gateway of Tally**
4. Click **Display More Reports**
5. Select **Trial Balance**

The Trial Balance will appear with:

- **Debit total on the left**
- **Credit total on the right**

Shortcut Key to View Trial Balance

From Gateway of Tally:

Alt + G → type "Trial Balance" → Enter

Question 2: Creating Financial Statements in Tally Prime (10 Marks)

At the end of the quarter (June 30, 2024), Mr. Aakash is required to prepare the Profit & Loss Statement and Balance Sheet.

Q2.

2.a) Generate the Profit & Loss Statement in Tally Prime (without GST and TDS) for April-June 2024.

Paste the screenshot of the day book and multi-ledger alteration screen of the company below. (4 marks)

Screenshot of Profit & Loss Statement (detailed):

Tally Prime EDU

K: CompanyY: DataZ: ExchangeG: Go ToO: ImportE: ExportM: ShareP: PrintF1: Help

Profit & Loss A/c

Star Enterprise Pvt Ltd

Star Enterprise Pvt Ltd

Star Enterprise Pvt Ltd

Particulars	Star Enterprise Pvt Ltd 1-Apr-2025 to 2-Jun-2025	Particulars	Star Enterprise Pvt Ltd 1-Apr-2025 to 2-Jun-2025
Purchase Accounts	95,000.00	Sales Accounts	3,50,000.00
Office Supplies	20,000.00	Sales	3,50,000.00
Raw Materials Purchase	75,000.00		
Gross Profit c/o	2,55,000.00		
	3,50,000.00		3,50,000.00
Indirect Expenses	65,000.00	Gross Profit b/f	2,55,000.00
Interest on Loan	5,000.00		
Professional Fees	10,000.00		
Salary Expenses	50,000.00		
Nett Profit	1,90,000.00		
Total	2,55,000.00	Total	2,55,000.00

Q: Quit

Space: Select

R: Remove Line

U: Restore Line

F12: Configure

F2: Period

F3: Company

F4

F5

F6

F7

F8: Valuation

F9

F10

B: Basis of Values

H: Change View

J: Exception Reports

L: Save View

F: Apply Filter

F: Filter Details

C: New Column

A: Alter Column

D: Delete Column

N: Auto Column

Screenshot of Multi Ledger Alteration Screen:

5:15 AM

Tally Prime EDU

K: CompanyY: DataZ: ExchangeG: Go ToO: ImportE: ExportM: ShareP: PrintF1: Help

Multi Ledger AlterationStar Enterprise Pvt Ltd

Under Group: All Items1-Apr-2023 to 2-Jun-2025

S.No.	Name of Ledger	Under	Opening Balance	Dr/Cr
1.	BANK ACCOUNT	Bank Accounts		
2.	CAPITAL ACCOUNT	Capital Account		
3.	Cash	Cash-in-Hand		
4.	Interest on Loan	Indirect Expenses		
5.	LOAN ACCOUNT	Loans (Liability)		
6.	Office Supplies	Purchase Accounts		
7.	Professional Fees	Indirect Expenses		
8.	Profit & Loss A/c	Primary		
9.	Raw Materials Purchase	Purchase Accounts		
10.	Salary Expenses	Indirect Expenses		
11.	Sales	Sales Accounts		
12.	SUNDARY CREDITORS	Sundry Creditors		
13.	Supplier A	Sundry Creditors		

Q: QuitA: Accept

F12: Configure

F2: PeriodF3: CompanyF4: Group

F5:F6:F7:F8:F9:F10

More Details

B: Zero Opening BalanceH: Change Parent Group

Screenshot of day book (detailed):

Date	Particulars	Vch Type	Vch No.	Debit Amount Inwards Qty	Credit Amount Outwards Qty	F5
1-Apr-2025	CAPTIAL ACCOUNT	Receipt	1		5,00,000.00	
1-Apr-2025	Supplier A	Purchase	1		75,000.00	
1-May-2025	Cash	Sales	5	1,50,000.00		
2-May-2025	Cash	Purchase	4		20,000.00	
1-Jun-2025	Salary Expenses	Payment	1	50,000.00		
2-Jun-2025	LOAN ACCOUNT	Payment	2	1,00,000.00		
2-Jun-2025	Professional Fees	Journal	1	10,000.00		
2-Jun-2025	Cash	Sales	7	2,00,000.00		

2.b) Describe the process of viewing the vertical version of the Balance Sheet in Tally Prime. Paste the screenshot of the Balance Sheet (without GST and TDS) below. (2 marks)

Provide the solution In the box below:

Open Tally Prime
Go to Gateway of Tally
Select Reports → Balance Sheet
Press F1 (Detailed) if needed
Press F12 (Configure)
Set Show Vertical Balance Sheet → Yes
Press Enter to view the report
Now the Balance Sheet
will be displayed in vertical format (Assets below Liabilities).
Short cut key ctrl+H

Screenshot of Balance Sheet (vertical version):

Star Enterprise Pvt Ltd as at 2-Jun-2025	
Sources of Funds:	
Capital Account	5,00,000.00
CAPITAL ACCOUNT	5,00,000.00
Loans (Liability)	(-)1,00,000.00
LOAN ACCOUNT	(-)1,00,000.00
Current Liabilities	75,000.00
Sundry Creditors	75,000.00
Profit & Loss A/c	1,90,000.00
Opening Balance	
Current Period	1,90,000.00
Total	6,65,000.00
Application of Funds:	
Current Assets	6,65,000.00
Closing Stock	
Cash-in-Hand	5,30,000.00
Bank Accounts	1,35,000.00
Total	6,65,000.00

2.c) Explain steps to print the Profit & Loss Statement and Balance Sheet to PDF for presentation to management. (2 marks)

Provide the solution In the box below:

1)Open the Report

- Go to Gateway of Tally
- Select Reports → Profit & Loss A/c
(Repeat same steps later for Balance Sheet)

2) Select Print Option

- Press Alt + P (Print)

3) Choose PDF Format

In the Print Configuration screen:

Set Print File → Yes

Set Export Format → PDF

Choose Output File Location

Enter File Name (e.g:XXX)

4)Configure Print Settings

Press F12 (Configure) if needed

Set Show Vertical Format → Yes

Set Show Zero Balances → No

5) Print & Save

Press Enter to Print

Tally will save the report as a PDF in the selected folder.

Tally Prime allows exporting financial statements by using the Print (Alt+P) option, selecting Print to File → PDF, and saving the file for presentation or sharing.

2.d) Explain steps to export the Profit & Loss Statement and Balance Sheet to Excel for presentation to management. (2 marks)

Provide the solution In the box below:

Steps to Export Profit & Loss and Balance Sheet to Excel in Tally Prime

1. Go to Gateway of Tally → Reports → Profit & Loss A/c
2. Press Alt + E (Export)
3. Select Format → Excel
4. Choose the file location and enter the file name
5. Press Enter to export

Repeat the same steps for Balance Sheet.

Conclusion:

Using the Export (Alt+E) option, Tally Prime allows financial reports to be saved in Excel format for easy presentation and analysis.

Question 3: Filing GST Returns Using Tally Prime (10 Marks)

Star Enterprises must file quarterly GST returns for its sales and purchase transactions. Following are the details related to GST.

		HSNISAC & Related Details	Specify Details Here
State	Delhi	HSN/SAC Details	84713010
Registration type	Regular	Description	Computers
Assessee of Other Territory	No	GST Rate & Related Details	Specify Details Here
GSTIN/UIN	07AAACD3004G1ZB	Taxability Type	Taxable
Periodicity of GSTR-1	Monthly	GST Rate	18%
e-invoicing applicable	No	Cess Valuation Type	Not Applicable
e-Way Bill applicable	No	Cess Rate	No
		Applicable for Reverse Charge	No
		Eligible for Input Tax Credit	Yes

Q3.

3.a) Describe the steps to configure GST in Tally Prime in the existing Company with the following details: Paste screenshots showing the GST configuration and Screenshots of GST Rate and other details. (4 marks) Provide the solution In the box below:

Step 1: Open the Existing Company

Open Tally Prime

Select your existing company from the Company Selection screen.

Step 2: Enable GST in Company Features

Press F11 (Features)

Select Statutory & Taxation

Enable: Enable Goods and Services Tax (GST) → Yes

Set/Verify: Set/Alter GST Details → Yes

After selecting Set/Alter GST Details, fill in:

State – Select the company's registration state

Registration Type – (Regular / Composition / Consumer, etc.)

GSTIN/UIN – Enter the 15-digit GST number

Applicable From – Enter GST applicability date

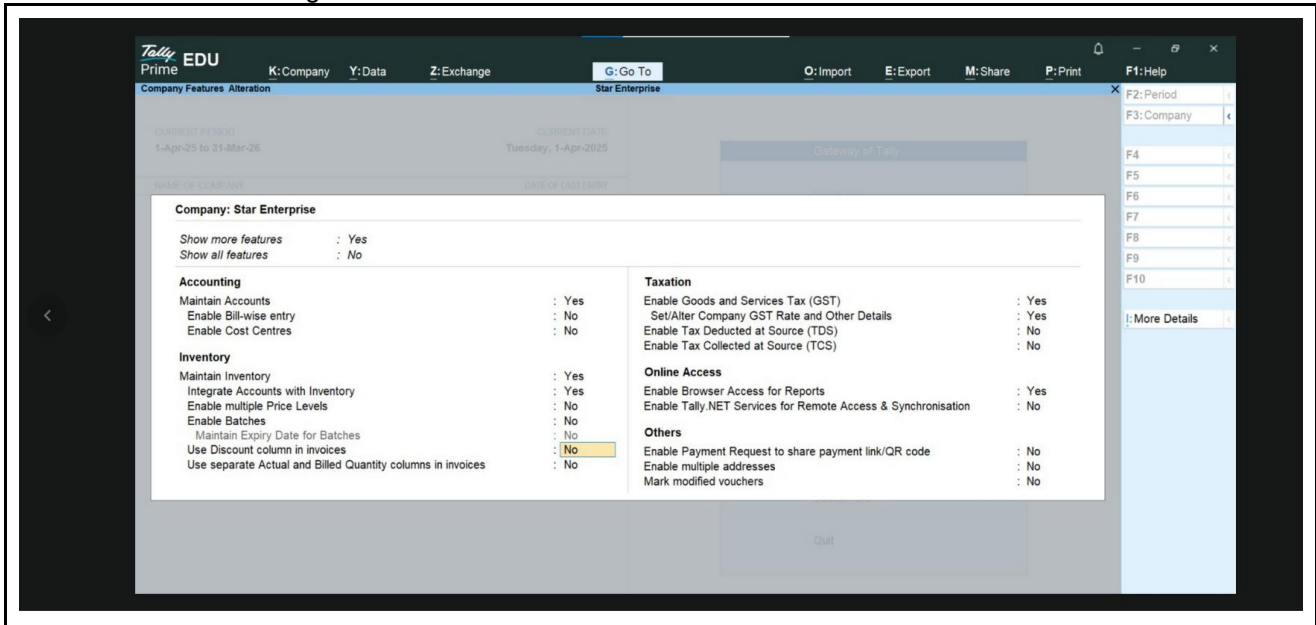
Enable options as required:

e-Way Bill

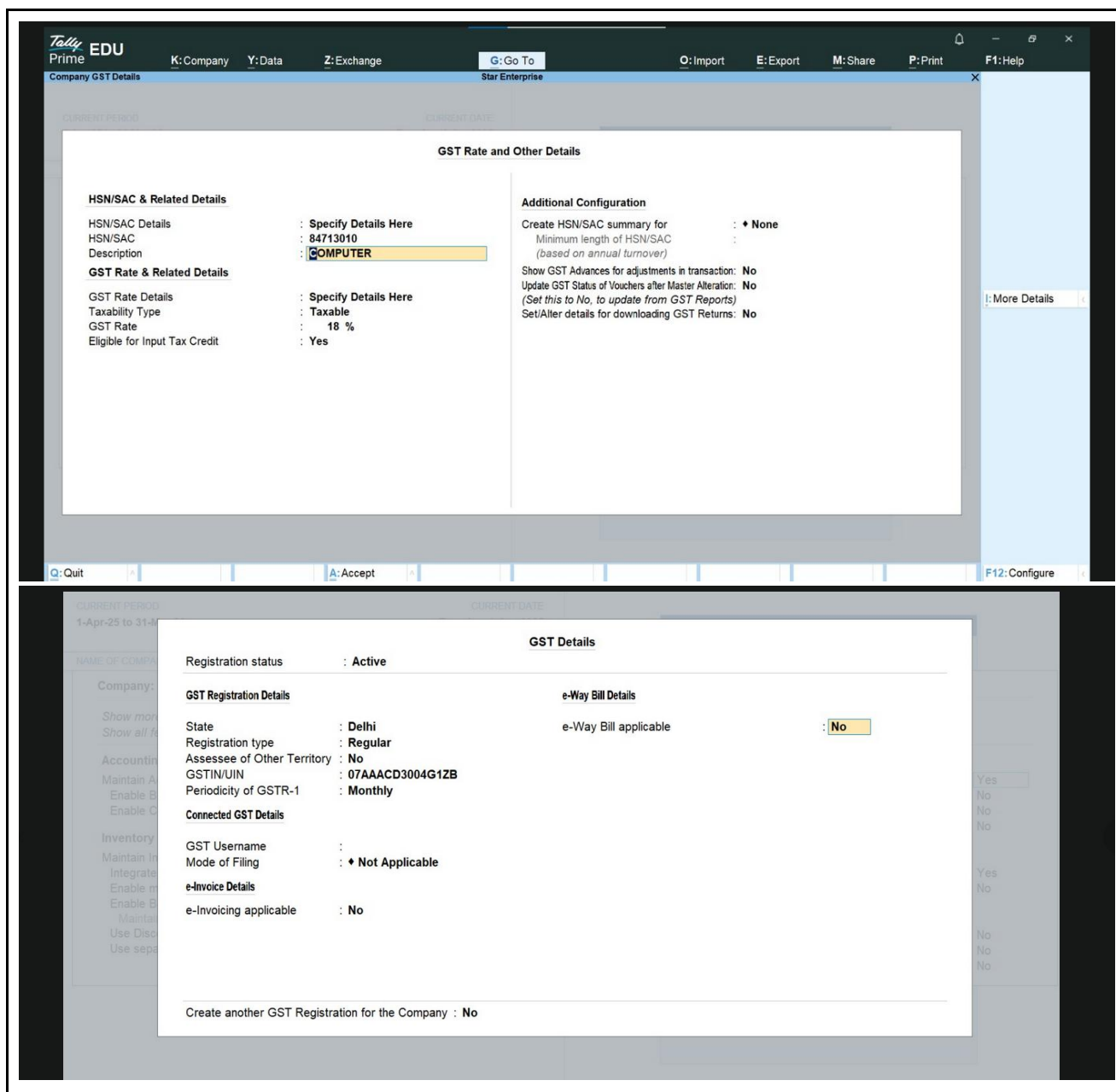
e-Invoicing (if applicable)

Press Ctrl + A to save.

Screenshot of GST Configuration:



Screenshot of GST Rate and other details:



3.b) Show the below transaction in Tally Prime. Also, explain the type of GST applicable

01 Aug 2024: Sold 10 HP computers @25000 each to a customer A living in Delhi (unregistered). Also collected 18% GST on it

Paste the screenshot of the Voucher entry. (2 marks)

Provide the solution in the box below:

Step 1: GST Type Applicable

Customer A is living in Delhi (Unregistered Dealer)

Assuming the seller is also registered in Delhi

Therefore, it is an Intra-State Sale

GST Applicable:

CGST @ 9% + SGST @ 9% (Total 18%)

Screenshot of voucher entry:

The screenshot shows the Tally Prime 'Sales' voucher entry screen. The voucher number is 1, dated 1-Apr-25. The party is 'Customer'. The sales ledger is 'Sales Account'. The current balance is 3,44,067.80 Cr. The voucher contains two items: 'HP COMPUTERS' (10 PCS at 25,000.00 each, totaling 2,50,000.00) and 'CGST' (19,067.80). The total amount is 2,69,067.80. The narration is '10 PCS'.

Name of Item	Quantity	Rate (Incl. of Tax)	Rate per	Amount
HP COMPUTERS	10 PCS	25,000.00	21,186.44 PCS	2,11,864.40
CGST				19,067.80
SGST				19,067.80
Total				2,69,067.80

Narration: 10 PCS 2,50,000.00

3. c) Show the below transaction in tally prime. Also, explain the type of GST applicable

02 Aug, 2024: Sold 6 HP computers @26000 each to M/S PQR a registered customer in Mumbai having GSTIN as 27AAUFM1756H1ZT.

Paste the screenshot of the Voucher entry. (2 marks)

Provide the solution In the box below:

Step 1: GST Type Applicable

Seller (assumed) is registered in Delhi

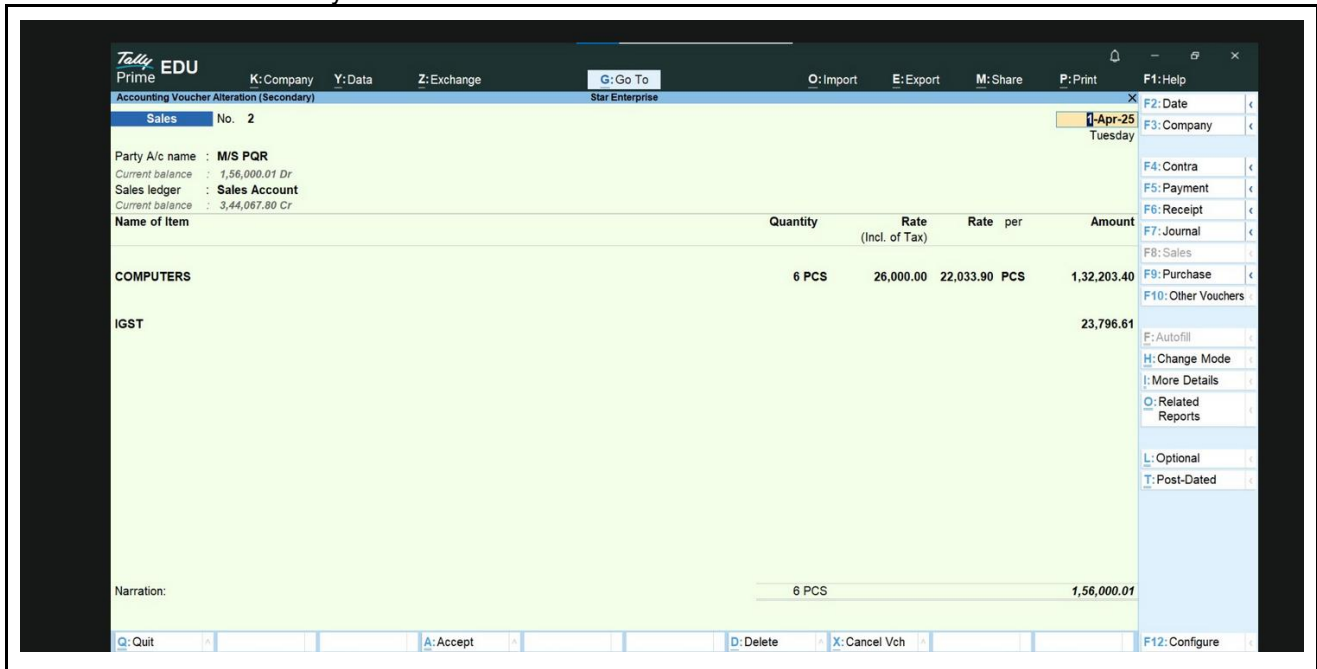
Buyer M/S PQR is registered in Mumbai, Maharashtra

GSTIN: 27AAUFM1756H1ZT (27 = Maharashtra)

Since it is a sale from Delhi to Maharashtra (Inter-State Sale):

IGST @ 18% is applicable

Screenshot of voucher entry:



3.d) Explain the route to check the GSTR 1 report in tally prime. Also, provide the screenshot of GSTR 1 for the month of Aug 2024 (2 marks)

Provide the solution In the box below:

1. Gateway of Tally
2. Click on Display More Reports
3. Select Statutory Reports
4. Select GST
5. Click on GSTR-1
6. Set the period as:
 - o From: 01-04-2025
 - o To: 01-06-2025

You can press Alt + F2 (Period) to change the month to August 2024.

Screenshot of voucher entry:

Tally Prime EDU
K: Company Y: Data Z: Exchange G: Go To O: Import E: Export M: Share P: Print F1: Help

GSTR-1
GST Registration : 07AAACD3004G12B
Status : Not Filed
1-Apr-25 to 1-Jun-25
Last online GST activity: No Activity Found

Particulars

Particulars	Vch Count (Summary)	Taxable Amount	IGST	CGST	SGST/UTGST	Cess	Tax Amount	Invoice Amount
Total Vouchers								
Included in Return	2							
Ready for Upload	2							
Not Uploaded	2							
Not Relevant for This Return								
Uncertain Transactions (Corrections needed)								
Return View								
B2B Invoices - 4A, 4B, 4C, 6B, 6C	1	1,56,000.00	28,080.00				28,080.00	1,84,080.00
B2C (Large) Invoices - 5A, 5B								
Exports Invoices - 6A								
Credit or Debit Notes (Registered) - 9B								
Credit or Debit Notes (Unregistered) - 9B								
Amended B2B Invoices - 9A								
Amended B2C (Large) Invoices - 9A								
Amended Exports Invoices - 9A								
Amended Credit or Debit Notes (Registered) - 9C								
Amended Credit or Debit Notes (Unregistered) - 9C								
B2C (Small) Invoices - 7	1 (1)	2,50,000.00		22,500.00	22,500.00		45,000.00	
Total		4,06,000.00	28,080.00	22,500.00	22,500.00		73,080.00	1,84,080.00

Q: Quit F12: Configure

Question 4: TDS in Tally Prime (10 Marks)

Star Enterprises paid ₹10,000 in professional fees to consultants in May 2024, which is subject to TDS.

Q4.

4.a) Explain how to activate TDS in Tally Prime. Also, explain how to configure professional fees, including the 10% TDS rate for the consultant's payment. (4 marks)

Provide the solution In the box below:

Step 1: Activate TDS in Tally Prime

Open Tally Prime

Go to Gateway of Tally → F11 (Features)

Select Statutory & Taxation

Set: Enable Tax Deducted at Source (TDS)? → Yes

Set/Alter TDS Details? → Yes

Press Enter to save.

Step 2: Configure Professional Fees with 10% TDS

(a) Create Nature of Payment

Gateway of Tally → Create → Statutory → Nature of Payment

Select Professional Fees

Set: Section: 194J

Rate: 10%

Threshold Limit: ₹30,000 per year

(b) Create Expense Ledger

Gateway of Tally → Create → Ledger

Name: Professional Fees

Group: Indirect Expenses

Set Is TDS Applicable? → Yes

Select Nature of Payment → Professional Fees

(c) Create Consultant Ledger

Create Ledger → ABC Consultant

Group: Sundry Creditors

Set Is TDS Applicable? → Yes

Enter PAN

4.b) Pass TDS entry of making ₹40,000 amount due to “party” having PAN number AFZPK7190K (resident individual) for professional fees expense on 01 Sept, 2024. Paste the screenshot of the TDS nature of payment, Tax ledger, and voucher entry below. (3 marks)

Screenshot of TDS Nature of Payment:

Tally Prime **EDU** K: Company Y: Data Z: Exchange G: Go To O: Import E: Export M: Share P: Print F1: Help

TDS Nature of Payment Alteration Star Enterprise

Name : **PROFESSIONAL FEES U/S 194J**

Section : 194J

Payment code : 94J

Remittance code :

Is transporter category : No

Is software royalty : No

Relaxation in rate for Non-Residents (as per Rule 37BC) : No

Value limit for a single bill :

Rate for individuals/HUF

With PAN : 10 %

Without PAN : 30 %

Rate for other deductee types

With PAN : 10 %

Without PAN : 30 %

Threshold/exemption limit : 30,000.00

Q: Quit A: Accept D: Delete F12: Configure

Screenshot of Tax Ledger (TDS Ledger):

Tally Prime **EDU** K: Company Y: Data Z: Exchange G: Go To O: Import E: Export M: Share P: Print F1: Help

Ledger Alteration Star Enterprise

Name : **PARTY**

(alias) :

Description : **Sundry Creditors (Current Liabilities)**

Mailing Details

Name : **PARTY**

Address :

Statutory Details

State : **Delhi**

Country : **India**

Pincode :

Is TCS Applicable : **Yes**

Buyer/Lessee type : **Individual - Resident**

Use advanced configurations for TCS : **No**

Banking Details

Provide bank details : **No**

Tax Registration Details

PAN/IT No. : **AFZPK7190K**

(PAN is mandatory for e-TCS, should be of 10 Characters)

Provide PAN details : **No**

Total Opening Balance

4,06,000.00 Dr

Difference 4,06,000.00 Dr

Opening Balance (on 1-Jun-24) :

Q: Quit A: Accept D: Delete F12: Configure

Screenshot of TDS Voucher Entry:

4.c) How can Mr. Aakash generate a TDS report in Tally Prime to verify the total TDS deducted for May 2024? Paste the screenshot of the report below. (2 marks)

Provide the solution In the box below:

Step-by-Step:

Open Tally Prime

Go to Gateway of Tally

Select Display More Reports → Statutory Reports

Choose TDS Reports

Click TDS Returns

Select Form 26Q

Press F2 (Period) → Set

○ From: 01-04-2025

○ To: 31-05-2025

Press Enter

Party-wise TDS deducted

Nature of payment (194J)

Gross amount, TDS amount

Challan status

This allows Mr. Aakash to verify the total TDS for May 2024.

Screenshot of TDS Report:

Tally Prime
Form 26Q
Star Enterprise Pvt Ltd
1-Apr-25 to 30-Jun-25

Particulars

Total Vouchers Count: 1

Included in return: 1
Not Relevant in this Return: 0
Uncertain Transactions (Corrections needed): 0

Particulars	Assessable Value			Tax Deductible			Deducted			Balance Deductible		
	Prev. Period	Current Period	Total	Prev. Period	Current Period	Total	Prev. Period	Current Period	Total	Prev. Period	Current Period	Total
Deduction at Normal Rate		40,000.00	40,000.00		4,000.00	4,000.00		4,000.00	4,000.00			
Deduction at Higher Rate												
Lower Rated Taxable Expense												
Zero rated Taxable Expense												
Under Exemption limit												
Exempt in lieu of PAN available												
Total Deducted								4,000.00				

Payment Details 1-Apr-25 to 30-Jun-25

Included in return: 0
Uncertain Transactions: 0

Particulars	Paid Amount	Amount
Balance Payable		4,000.00

Right-hand pane menu:
F2: Period
F3: Company
F4: Count
F5: Included in return
F6: Not Relevant in this Return
F7: Uncertain Transactions (Corrections needed)
F8: Particulars
F9: Assessable Value
F10: Tax Deductible
B: Basis of Values
H: Change View
J: Exception Reports
L: Save View
B: Save Return
H: Save as Revised
J: TDS Deduction
R: Remarks
S: Stat Payment
W: Recompute
F12: Configure

4.d) Explain how to prepare a TDS return report in Tally Prime for filing with the tax authorities for the quarter. (2 marks)

Paste your answer here:

Step 1: Open TDS Returns Report

Open **Tally Prime**

Go to **Gateway of Tally** → **Display More Reports**

Select **Statutory Reports** → **TDS Reports**

Click **TDS Returns**

Choose the relevant form:

Form 26Q – for payments to resident parties

Step 2: Select the Quarter

Press **F2 (Period)**

Set the quarter, for example:

01-04-2024 to 30-06-2024

Press **Enter**

Step 3: Verify Details

Check:

Deductee PAN

Nature of payment (e.g., 194J Professional Fees)

Gross amount

TDS amount

Challan details

Make corrections if any errors are shown.

Step 4: Fill Challan Details

Go to **Challan Reconciliation**

Enter:

Challan No.

BSR Code

Date of Deposit

Save.

Step 5: Generate TDS File

In **TDS Returns** screen, press **Alt + E (Export)**

Select **File Type: TDS (FVU format)**

Choose the location and save.

This file is uploaded on the **Income Tax e-Filing Portal**.

Question 5: Bank Reconciliation in Excel (10 Marks)

5.a) Clearly identify and explain the discrepancies between the bank statement and the company's cash book. (3 marks)

Provide the solution In the box below:

A discrepancy arises because some transactions are recorded in the cash book but not yet reflected in the bank statement, or vice-versa, on a given date.

Main Reasons:

1. Timing Differences

Cheques issued but not yet presented to the bank.

Cheques deposited but not yet cleared.

2. Direct Bank Transactions

Bank charges, interest, ECS/standing instruction payments are entered by the bank but not immediately recorded in the cash book.

3. Errors and Omissions

Wrong entries, double posting, or missed transactions in either the cash book or the bank statement.

Conclusion:

These differences are temporary and are reconciled using a Bank Reconciliation Statement (BRS).

5.b) Prepare the Bank Reconciliation Statement (reaching at cash book balance at the end) for Star Enterprises as of June 30, 2024, using the provided data. Paste the screenshot of your Excel BRS below. (5 marks)

Screenshot of Bank Reconciliation Statement in Excel:

Bank Reconciliation Statement as at 30-Jun-2024			
date	particulars	Details	Amount
30-06-2024	Balance as per Cash Book		170000
18-06-2024	Add: Interest on FD credited by Bank but not recorded in Cash Book	5000	
20-06-2024	Sales receipt entered in Cash Book but credited by Bank on 25-06-2024	150,000	155,000
			3,25,000
25-06-2024	less: Sales receipt not yet reflected in Bank on 20-06-2024	1,50,000	150000
	Balance as per pass book		1,75,000

5.c) Discuss how regular preparation of BRS can prevent financial frauds and ensure better cash flow management in a company like Star Enterprises. (2 marks)

Provide the solution In the box below:

Regular preparation of a Bank Reconciliation Statement (BRS) helps Star Enterprises in the following ways:

1. **Prevents Financial Frauds:**

It quickly identifies unauthorized withdrawals, fake entries, cheque misuse, or bank errors by matching the cash book with the bank statement.

2. **Ensures Better Cash Flow Management:**

BRS shows the actual bank balance, helping management track pending cheques and deposits, plan payments properly, and avoid overdrafts or cash shortages.